

# Observer Research Foundation

## Artificial Intelligence (AI) Action Plan: Recommendations to the National Science Foundation and the Office of Science & Technology Policy

### Introduction

On January 23, 2025, President Trump issued the Executive Order 14179, marking a shift in American domestic and foreign policy towards AI development. The objective of the Trump administration is to “sustain and enhance America’s global AI dominance in order to promote human flourishing, economic competitiveness, and national security.”<sup>i</sup> To achieve the stated objectives, the US will need to balance a pro-innovation approach domestically with a pro-security foreign policy. The following sections suggest two regulatory themes towards this end: reprioritizing domestic policy through the AI Safety Institute and federal regulations and adjustment of export controls towards strategic partners.

### 1. Modifying the mandate and operations of the US AI Safety Institute

The US AI Safety Institute (AISI) was established in 2023 with a focus on AI risk mitigation, regulatory oversight, and responsible AI deployment. However, with President Trump’s emphasis on the “removal of barriers to American AI innovation” and “global leadership in AI,”<sup>ii</sup> the Institute’s priorities may need to shift towards minimizing bureaucratic and regulatory hurdles, boosting AI competitiveness, and building a pro-business AI ecosystem. The following actions could be considered.

#### 1.1 Shifting towards self-regulation and market-driven AI governance

- **Industry self-regulation:** Increasingly, the AISI will need to advocate for market-driven AI governance, and light-touch regulations. For certain sectors, it could work towards replacing AI compliance requirements embedded in law with voluntary industry-driven standards akin to Australia’s Voluntary AI Safety Standard, which includes guardrails that apply to all organizations across the AI supply chain.<sup>iii</sup> Such an approach would encourage self-regulation, while allowing businesses to scale AI applications rapidly. The AISI must push for industry’s self-regulation commitments to be upheld, with the establishment of mechanisms for transparency and information-sharing.<sup>iv</sup>

- **Light-touch transparency requirements:** Prior to Executive Order 14179 issued by the Trump administration, Executive Order 14110<sup>v</sup> issued by the previous administration had served as a federal guidance for AI regulation. In the absence for a federal regulation, the American AI landscape is being governed primarily by state-led initiatives. Given that Executive Order 14179 calls to establish a pro-innovation approach without introducing onerous regulatory burdens for the AI sector, issuing federal transparency requirements for highly capable multi-modal frontier AI models can be considered as a light-touch measure. Developers can be directed to ensure that AI generated outputs from models that cross a defined monthly user threshold have latent identification elements like machine-readable watermarks. The approach will facilitate inter-state regulatory consistency and dovetail with state-led bills like the Artificial Intelligence Policy Act<sup>vi</sup> passed by the state of Utah and AI Transparency Act<sup>vii</sup> passed by the state of California in 2024.
- **Legal compliance:** In areas such as national security and critical infrastructure, however, more stringent requirements for legal AI compliance should be retained. The AISI could identify and list these domains, clearly differentiating them from those where self-regulation may suffice.

## 1.2 Adopting a pro-business approach to the AISI's Strategic Goals

- **AI regulatory sandboxes:** The AISI's Strategic Goals calls for addressing the underdeveloped testing, evaluation, verification and validation (TEVV) methods for AI.<sup>viii</sup> The Institute could actively begin supporting the establishment of AI regulatory sandboxes where firms can experiment with advanced AI models and associated TEVV in real-world settings before full-scale deployment. This would also enable AI startups and corporations to develop breakthrough applications without regulatory delays.
- **AI skilling:** The AISI present Strategic Goals also highlight the importance of “supporting institutions, communities and coordination, around AI safety.”<sup>ix</sup> This needs to be expanded to consider supporting AI *sustainability* rather than safety alone. A core element of AI sustainability – in keeping with President Trump's vision of job creation<sup>x</sup> – will be to create new jobs through AI re-skilling. The AISI should therefore prioritize the design and execution of AI workforce training and re-skilling programs which include an element of sensitization about AI safety. The launch of a National AI Workforce Initiative within the AISI, which partners with private firms to train American workers in AI-driven industries, could be considered.

### 1.3 Building R&D capacities and leveraging international collaborations

- **National AI Acceleration Fund:** AI innovation and leadership will require greater investments in domestic research and development (R&D), and a National AI Acceleration Fund could be set up within the AISI to drive R&D investment in areas including autonomous systems, defense AI, and industrial automation.
- **Public-interest AI:** The establishment of computing clusters that serve public interest may help align domestic policy with President Trump's stated goal of using AI to promote human flourishing. For instance, California has introduced CA SB53 to construct a public computing cluster, 'CalCompute,'<sup>xi</sup> to offer researchers and businesses the resources to develop AI that serves the public interest. Similarly, the federal government can establish a National Compute Cluster to facilitate the development of frontier open-source AI models. Given that Chinese open-source frontier models have emerged as a critical threat to American leadership in the global AI landscape, frontier models facilitated by a National Compute Cluster will help sustain American competitiveness in the open-source market.
- **International Network of AI Safety Institutes:** The US AISA is a part of the International Network of AI Safety Institutes launched in 2024.<sup>xii</sup> It must collaborate with the Network's members on joint R&D projects which could eventually boost domestic capacities for innovation. As the AISA reprioritizes its areas of work it must strategically seek out these international partnerships.

## 2. Adding flexibility to export controls to foster strategic partnerships

### 2.1 Increasing export caps through the Validated End User Authorization program

On January 15, 2025, the Bureau of Industry and Security released the Framework of Artificial Intelligence Diffusion (FAID) as the latest amendment to US export controls for regulating the diffusion of advanced chips and computing capacity. The methodology adopted by the FAID divides countries into three tiers. Entities based in top-tier countries are eligible for 'Universal Validated End User' (UVEU) authorization, thus allowing them to manufacture, deploy and export cutting-edge chips with negligible restrictions in top-tier countries.

While the FAID succeeds at setting clear standards for acquiring licenses, a case-by-case approach towards middle-tier countries may prove to be beneficial. Longitudinally, increasing the export cap on compute capacity from UVEUs to National Validated End User (NVEU) entities in countries that have economic and military agreements with the US should be considered. For instance, the export limit on compute for NVEU authorized entities and one-time export licenses for entities in middle-tier countries should be increased if the host country implements adequate

protocols for cybersecurity, supply-chain independence from embargoed countries, physical systems security, model weight security and so forth. Increasing compute export to large and strategic markets will ensure that favored middle-tier countries, such as those participating in alliances like I2U2 (India, Israel, UAE, US) are better able to meet their compute requirements, ensuring a deeper integration into the US supply chain and meeting President Trump's stated goal of sustaining American leadership in AI development.

## **2.2 Creating a pathway to acquire UVEU Authorization**

In order to cultivate a cooperative geopolitical and technological international order that disincentivizes bad actors, US export controls should incentivize regulatory and governance alignment with strategic partners. Middle tier-countries may be more likely to establish supply chain independence from embargoed nations if a pathway for acquiring UVEU status is present.<sup>xiii</sup> Private entities and countries in the middle-tier may perpetually face uncertainties in developing local AI ecosystems in the absence of such a pathway which will in turn hinder the consolidation of a US-led global AI ecosystem. On the basis of government-to-government agreements, compliance verification and regularly validated security protocols, formulating a pathway to a *Conditional Universal Validated End User* status for middle-tier countries in the forthcoming AI Action Plan should be considered.

## **2.3 Exempting Open-Weight Frontier Models**

An exemption to US export controls in the FAID applies to AI developers in middle-tier countries that develop open-source models, even when said models exceed the  $10^{26}$  FLOPs limit.<sup>xiv</sup> However, the recent release of open-weight models like DeepSeek R1 suggests that algorithmic distillation and optimization techniques can be used to develop open models competitive with closed US frontier AI models. Narrowing US export controls to restrict the development of open models in middle-tier countries may run counter to US interests by allowing China to position itself as an alternative provider of open-source stacks.<sup>xv</sup> To avoid this scenario, international partnerships, accelerator programs and research collaborations can be utilized to cultivate an open-source ecosystem that aligns with US interests. Building on previously stated recommendations, establishment of an International Democratic Compute Cluster between the US and key partners should be considered.

## **Conclusion**

The recommendations stated in this paper are pursuant to the Trump administration's objective of sustaining and enhancing US leadership in AI development. The recommendations articulate necessary regulatory tools like R&D initiatives, acceleration funds, public-interest compute

clusters while minimizing regulatory burden on AI developers based in the US. However, given that the AI supply chain and consumer base is globally distributed, sustaining US leadership will involve incentivizing countries to integrate into the US AI ecosystem. To facilitate this integration, introducing gradations in the FAID based on inter-governmental ties and agreements can be useful. Recent advances in open-weight frontier model development in China present the possibility of an alternative AI ecosystem misaligned with strategic and national security interests of the US and its allies. While narrow export controls may be effective in the short term, a balanced approach that accounts for the computing and infrastructure needs of geopolitically aligned countries may prove to be more sustainable for ensuring US leadership.

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<sup>i</sup> The White House, *Removing Barriers to American Leadership in Artificial Intelligence*, United States Government, 2025, <https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence/>

<sup>ii</sup> “Removing Barriers to American Leadership in Artificial Intelligence”, *The White House*, <https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence/>

<sup>iii</sup> <https://www.industry.gov.au/publications/voluntary-ai-safety-standard#:~:text=>

<sup>iv</sup> Melissa Heikkila, “AI companies promised to self-regulate one year ago. What’s changed?”, *MIT Technology Review*, July 22, 2024, <https://www.technologyreview.com/2024/07/22/1095193/ai-companies-promised-the-white-house-to-self-regulate-one-year-ago-whats-changed/>.

<sup>v</sup> The White House, *Executive Order on the Safe, Secure, and Trustworthy Development and Use of Artificial Intelligence*, United States Government, <https://bidenwhitehouse.archives.gov/briefing-room/presidential-actions/2023/10/30/executive-order-on-the-safe-secure-and-trustworthy-development-and-use-of-artificial-intelligence/>

<sup>vi</sup> Jason I. Epstein et al., “Utah Law Makes AI Subject to Consumer Protection Laws,” *The National Law Review*, March 21, 2024, <https://natlawreview.com/article/utah-law-makes-ai-subject-consumer-protection-laws>

<sup>vii</sup> Titus Wu, “Law on AI Watermarks, Detection Tool Enacted in California,” *Bloomberg Law*, September 19, 2024, <https://news.bloomberglaw.com/artificial-intelligence/law-on-ai-watermarks-detection-tool-enacted-in-california>

<sup>viii</sup> “The United States Artificial Intelligence Safety Institute: Vision, Mission and Strategic Goals”, NIST <https://www.nist.gov/system/files/documents/2024/05/21/AISI-vision-21May2024.pdf>

<sup>ix</sup> “The United States Artificial Intelligence Safety Institute: Vision, Mission and Strategic Goals”, NIST <https://www.nist.gov/system/files/documents/2024/05/21/AISI-vision-21May2024.pdf>

<sup>x</sup> Jack Kelly, “Revitalizing the job market: Key takeaways from President Trump’s address”, *Forbes*, March 5, 2025, <https://www.forbes.com/sites/jackkelly/2025/03/05/revitalizing-the-job-market-key-takeaways-from-president-trumps-address/>

<sup>xi</sup> “Senator Wiener Introduces Legislation to Protect AI Whistleblowers & Boost Responsible AI Development,” February 28, 2025, <https://sd11.senate.ca.gov/news/senator-wiener-introduces-legislation-protect-ai-whistleblowers-boost-responsible-ai>

<sup>xii</sup> “Mission Statement”, International Network of AI Safety Institutes, November 20–21, 2024, <https://www.nist.gov/system/files/documents/2024/11/20/Mission%20Statement%20-%20International%20Network%20of%20AISIs.pdf>

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<sup>xiii</sup> Barath Harithas, “The AI Diffusion Framework: Securing U.S. AI Leadership While Preempting Strategic Drift,” *Center for Strategic & International Studies*, February 18, 2025, <https://www.csis.org/analysis/ai-diffusion-framework-securing-us-ai-leadership-while-preempting-strategic-drift>

<sup>xiv</sup> Lennart Heim, “Understanding the Artificial Intelligence Diffusion Framework,” *RAND*, January 14, 2025, <https://www.rand.org/pubs/perspectives/PEA3776-1.html>

<sup>xv</sup> Gregory C. Allen, “DeepSeek, Huawei, Export Controls, and the Future of U.S.-China AI Race,” *Center for Strategic & International Studies*, March 7, 2025, <https://www.csis.org/analysis/deepseek-huawei-export-controls-and-future-us-china-ai-race>